Meridian Systems, Inc. (MRDN)

Q2 FY2026 Earnings Conference Call Transcript — August 14, 2025, 5:00 PM ET. Fictional sample document generated for Alpha Detective testing.

Call Participants

Daniel Okafor — Chief Executive Officer; Priya Raghavan — Chief Financial Officer; Lena Hartwell — VP, Investor Relations.

Operator

Operator: Good afternoon, and welcome to the Meridian Systems second quarter fiscal 2026 earnings conference call. All participants are in listen-only mode. After the prepared remarks there will be a question-and-answer session. I would now like to turn the call over to Lena Hartwell, VP of Investor Relations. Please go ahead.

Lena Hartwell: Thank you, operator. During today's call we will make forward-looking statements and refer to non-GAAP measures. With me today are our CEO, Daniel Okafor, and our CFO, Priya Raghavan. Daniel, over to you.

Prepared Remarks

Daniel Okafor (CEO): Thank you, Lena, and good afternoon, everyone. Meridian delivered an outstanding second quarter. Revenue for the second quarter was $48.2 million, an increase of 23% year-over-year, driven by continued strength in our enterprise workflow platform. Annual recurring revenue reached $210.4 million, and net revenue retention was 118%, reflecting healthy expansion within our installed base. Given the momentum in the business, we are raising our full-year FY2026 revenue guidance to $196–200 million.

Priya Raghavan (CFO): Thanks, Daniel. Turning to profitability and the balance sheet. Non-GAAP operating margin for the second quarter was 11%, up from 6% a year ago as we continued to scale efficiently. GAAP net loss was $(3.1) million, which includes stock-based compensation expense. We ended the quarter with $312 million in cash, cash equivalents, and short-term investments, and no debt. Headcount at quarter end was 1,240 employees. The table of quarterly metrics on the following page summarizes the quarter.

Quarterly Metrics — Q2 FY2026

Metric	Q2 FY2026	Commentary
Revenue	$48.2 million	+23% year-over-year
Annual recurring revenue (ARR)	$210.4 million	quarter end
Net revenue retention (NRR)	118%	trailing twelve months
Non-GAAP operating margin	11%	up from 6% a year ago
GAAP net loss	$(3.1) million	includes SBC expense
Cash and short-term investments	$312 million	no debt
Headcount	1,240	quarter end
FY2026 revenue guidance	$196–200 million	raised

Question-and-Answer Session

Operator: We will now begin the question-and-answer session. Our first question comes from Marcus Bell of Halcyon Research.

Marcus Bell (Halcyon Research): Congratulations on the quarter. Daniel, can you unpack what is driving the raised FY2026 guidance of $196–200 million — is it new logos or expansion?

Daniel Okafor (CEO): Thanks, Marcus. It is both, but expansion is the larger driver — net revenue retention of 118% tells that story. Our largest customers are standardizing more teams on the platform.

Sofia Grant (Beacon Capital Markets): Priya, how should we think about the durability of the 11% non-GAAP operating margin while you keep hiring?

Priya Raghavan (CFO): We ended the quarter at 1,240 employees and plan measured hiring in go-to-market. With $312 million of cash and no debt we can invest while expanding margin modestly for the full year.

Operator: This concludes today's question-and-answer session and the Meridian Systems Q2 FY2026 earnings call. Thank you for joining. You may now disconnect.